

In the case of other kinds of railroad bonds, e.g., debentures, income obligations, etc., the fixed charges (plus interest on income bonds, if any) must be earned twice in both the latest year and in five out of the six preceding years. In this category, the requirement as to dividend payments is apparently absolute, and no substitute therefor is admitted.

In the case of gas, electric, and telephone bonds, the *average* earnings for the past five years must have equalled twice the *average* total-interest charges, and the same coverage must have been shown in the latest year.

Three Phases of the Earnings Coverage: 1. Method of Computation. In analyzing these statutory provisions, three elements deserve consideration. The first is the *method* of computing the earnings coverage; the second is the *amount* of coverage required; and the third is the period required for the test.

The Prior-Deductions Method. Various methods are in common use for computing and stating the relation of earnings to interest charges. One of these (which may be called the Prior-deductions Method) is thoroughly objectionable. Nevertheless, prior to 1933 it was followed by the majority of issuing houses in their circulars offering junior bonds for sale, because it makes for a deceptively strong exhibit. The procedure consists of first deducting the prior charges from the earnings and then calculating the number of times the junior requirements are covered by the balance. The following illustration will show both the method itself and its inherent absurdity:

Company A has \$10,000,000 of first-mortgage, 5% bonds and \$5,000,000 of debenture 6% bonds.

Its average earnings are	\$1,400,000	
Deduct interest on first 5s	500,000	earned 2.8 times
Balance for debenture 6s	\$ 900,000	
Interest on debenture 6s	\$ 300,000	earned 3 times

A circular offering the 6% debenture issue was likely to state that "as shown above" the interest charges are covered three times. It should be noted, however, that the interest on the first 5s is covered only 2.8 times. The implication of these figures would be that the junior issue is better protected than the senior issue, which is clearly absurd. The fact is that the results shown for junior bonds by this prior-deductions method are completely valueless and misleading. One of the favorable results of the